

Subject Description Form

Subject Code	AF4322
Subject Title	Management of Financial Institutions
Credit Value	3
Level	4
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Business Finance (AF3313)
Objectives	This subject aims to provide students with an overview of the regulation of the banking industry, enable students to analyze the management of assets and liabilities of financial institutions and to critically assess the performance of financial institutions by applying basic financial theories, analyzing financial reports, understanding the operation of financial institutions and the global trend in Fintech.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - critically assess the specialness and the roles of financial institutions (BBA Outcome 11a); - evaluate the impact of different regulatory and ethical issues on the management of financial institutions (BBA Outcome 11a); - understand and be able to analyse financial reports of banks (BBA Outcome 11a); - identify the various sources of risks in financial intermediation and the methods for measuring and managing such risks (BBA Outcome 11a); - understand and evaluate how the new technologies, including blockchain and encryption, big data and data analytics, and artificial intelligence (AI) influence the development of the Fintech market (BBA Outcome 11c).
Subject Synopsis/ Indicative Syllabus	Specialness and Roles of Financial Institutions Differences between of financial institutions and non-financial firms. The Impact of Government Policy and Regulation on Financial Institutions Banking regulation; major banking laws Performance Assessment of Financial Institutions Financial statements analysis. Risk Measurement & Management Risks of financial intermediation. Risk measurement models. Risk management techniques. Managing Sources of Funds for a Financial Firm Managing and pricing deposit services. The management of capital. Banking Lending and Credit Risk

	Lending policies and managing credit risk.							
	Fintech Foundations and Regulations Fintech technologies, Issues with Fintech, and Global Fintech regulation.							
Teaching/Learning Methodology	Part of the classes will be used to discuss concepts and issues arising in respect of the management of financial institutions. Case studies and / or mini projects will be used to reinforce students' learning by illustrating that techniques discussed in lectures have application to real-life problems. Students will be asked to analyze and provide solutions to cases / projects which should reflect understanding and ability of applying the knowledge covered in this subject.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	
	1. Team seminar presentation	15%	√	√	√	√	√	
	2. Individual class participation	5%	√	√	√	√	√	
	3. Test	30%	√	√	√			
	4. Final Examination	50%	√	√	√	√	√	
	Total	100 %						
	Seminar presentation will be a team work and it will test students' attainment of the intended learning outcomes by means of a presentation on an assigned topic. The seminar activities will be supplemented by students' individual participation in discussion of either the presentation topics or the discussion questions. Test and final examination will be individual student's effort and test the students' attainment of the intended learning outcomes under the stress of a closed book test or examination condition.							
	To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.							
	Student Study Effort Required	Class contact:						
▪ Seminars				39 Hrs.				
Other student study effort:								
▪ Reading				48Hrs.				
▪ Working on assignments & presentations				18Hrs.				
Total student study effort				105Hrs.				
Reading List and References	Textbooks							
	Rose, P.S. and Hudgins, S.C. <i>Bank Management & Financial Services</i> , McGraw Hill, latest edition.							

	Saunders, A., & Cornett, M. C. 2019. <i>Financial Markets and Institutions</i>. (7th ed.). McGraw Hill. References Annual reports of various financial institutions. Articles from US Federal Reserve, Fintech Weekly, Bank for International Settlement, Hong Kong Monetary Authority, and various newspapers such as Financial Times.	
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